

26 Jul 2026 17:27:25 ET | 11 pages

Aluminum Corporation of China (2600.HK)

Key Takeaways from Site Visit

CITI'S TAKE

We visited Baotou Aluminum, a subsidiary of Chalco, on 23rd-24th Jul and attended a meeting with Chalco's management team. Ms. Zhu Dan, CFO and Board Secretary, and other management team members attended the meeting. Mgmt. believes China will keep the capacity cap policy. There could be 3%-5% overproduction through increasing current intensity, but it is easy for authorities to check the power consumption. Key takeaways summarized below. Maintain Buy.

Aluminum overproduction - Mgmt. believes China will keep the capacity cap policy. There could be 3%-5% overproduction through increasing current intensity, but it is easy for authorities to supervise by checking the power consumption. Considering the maintenance work for 20+ days, the aluminum output in several months could be higher while the full year output remains in line with the capacity. In addition, some producers may count the recycling aluminum output to the total primary aluminum production statistics, resulting in higher aluminum output than capacity.

Overseas capacity addition - The State Council Order No. 837, Regulations on Outbound Investment, introduced stricter measures for ODI approval. The funds outflow for investment in overseas for both SOEs and POEs need to get the ODI approval, while the investment through funds in overseas already do not need to get ODI approval. The new regulation also strengthens the review of actual controlling shareholder. Chalco's strategy of overseas investment is focused on resources acquisition and aluminum capacity in the regions with renewable energy.

Demand - Mgmt. expects the demand from AI, power and grid, and aluminum substitution for copper segments could offset the weak demand growth in traditional industries. Chalco expects global aluminum consumption CAGR will be ~4% in the next few years benefiting from increasing demand from NEV, ESS, AIDC, etc.

Strategy - With vertical integrated business model, Chalco's cost ranks at the lowest 30% of global aluminum cost curve. In 15th FYP, Chalco will focus on transferring alumina capacity to the regions with cost advantages, upgrading aluminum capacity that is below 300ka, and layout of overseas aluminum capacity in the regions with renewable energy.

Buy

Price (24 Jul 26 16:10)	HK\$8.30
Target price	HK\$17.08
Expected share price return	105.8%
Expected dividend yield	6.5%
Expected total return	112.3%
Market Cap	HK\$177,157M US\$22,589M

Jack Shang, CFA^{AC}

+852-2501-2441
jack.shang@citi.com

Anna Wang

+852-2501-2739
anna.d.wang@citi.com

Jimmy Feng

jimmy.feng@citi.com

Cynthia Wu

cynthia.d.wu@citi.com

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Recycling aluminum – The recycling aluminum capacity is in surplus as it is economically unviable vs primary aluminum. The key bottleneck is recycling channels and classification of scraps.

Shareholder return – Chalco will keep focus on shareholder return and the dividend payout ratio for 2026E could be higher YoY. Chalco will also consider share repurchase and major shareholder increasing stakes.

Aluminum Corporation of China

Valuation

Our target price of HK\$17.08/sh for the Chalco H-share is based on 2.83x 2026E PB, set at 2.25x SD above the historical average of 1.27x to reflect stronger-than-historical-average 2026-27E ROEs, benefitting from higher aluminum price.

Risks

Downside risks that could impede the stock from reaching our target price are: 1) Lower-than-expected aluminum and alumina prices; 2) Higher-than-expected costs; 3) Higher-than-expected impairment loss; and 4) The Chinese government may loosen its supply cut policies if aluminum price overshoots.

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Appendix A-1

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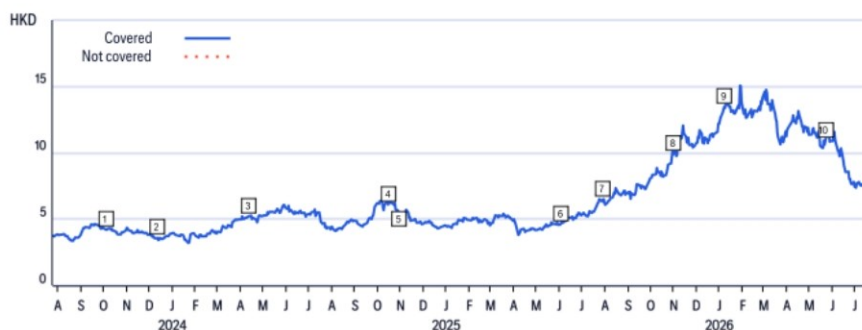
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Aluminum Corporation of China (2600.HK)

Ratings and Target Price History Fundamental Research

Analyst: Jack Shang, CFA



Date	Rating	Target Price	Closing Price
1 04-Oct-23 09:06:45	1	*5.96	4.21
2 12-Dec-23 10:00:35	1	*5.51	3.59
3 11-Apr-24 11:41:48	1	*7.88	5.20
4 15-Oct-24 18:49:20	1	*9.09	6.10

Date	Rating	Target Price	Closing Price
5 29-Oct-24 10:06:17	1	*8.89	5.53
6 02-Jun-25 10:34:49	1	*7.60	4.59
7 29-Jul-25 11:38:09	1	*7.47	6.47
8 02-Nov-25 22:06:33	1	*12.41	9.88

Date	Rating	Target Price	Closing Price
9 07-Jan-26 10:23:57	1	*15.94	13.46
10 22-May-26 07:12:45	1	*17.08	10.87

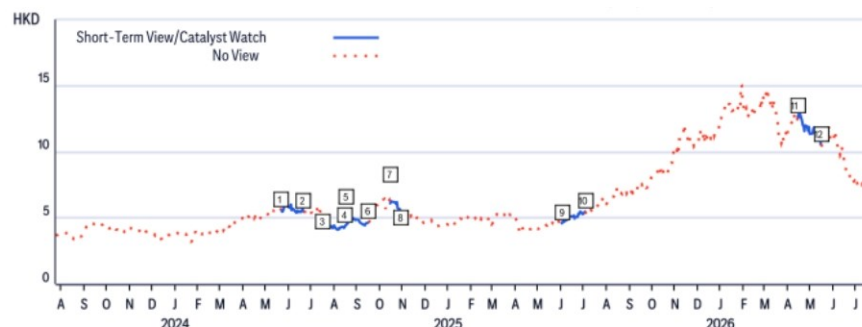
*Indicates Change

Rating/target price changes above reflect Eastern Time

Aluminum Corporation of China (2600.HK)

Short-Term View/Catalyst Watch Research

Analyst: Jack Shang, CFA



Date	Action	Expected Direction	Duration	Closing Price
1 22-May-24 04:40:28	Add CW	Upside	30 Days	5.63
2 21-Jun-24 00:24:50	Remove CW	Upside	30 Days	5.46
3 16-Jul-24 14:50:56	Add CW	Downside	30 Days	5.19
4 16-Aug-24 00:12:08	Remove CW	Downside	30 Days	4.43

Date	Action	Expected Direction	Duration	Closing Price
5 16-Aug-24 07:31:42	Add CW	Upside	30 Days	4.43
6 16-Sep-24 00:14:55	Remove CW	Upside	30 Days	4.67
7 15-Oct-24 14:49:20	Add CW	Upside	30 Days	6.10
8 29-Oct-24 06:06:17	Remove CW	Upside	30 Days	5.53

Date	Action	Expected Direction	Duration	Closing Price
9 02-Jun-25 06:34:49	Add CW	Upside	30 Days	4.59
10 03-Jul-25 00:22:45	Remove CW	Upside	30 Days	5.48
11 14-Apr-26 04:28:27	Add CW	Upside	30 Days	12.68
12 15-May-26 00:28:25	Remove CW	Upside	30 Days	10.54

CW - Catalyst Watch, STV - Short-Term View

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